higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

INCOME TAX N6

31 MAY 2019

This marking guideline consists of 7 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	Tito Mboweni		
	1.1.2	14% OR 0% (standard rate or zero rate)		
	1.1.3	28/29 February		
	1.1.4	Owed to		
	1.1.5	All new employees who receive income, irrespective of their salaries.		
			(5 × 1)	(5)
1.2	1.2.1	False		
	1.2.2	True		
	1.2.3	True		
	1.2.4	False		
	1.2.5	True		
			(5 × 1)	(5)
				[10]

TOTAL SECTION A: 10

SECTION B

QUESTION 2

First provisional payment:	**Date**	**Form**	**Rand**
	31/08/2017✓✓	IRP6/01✓	
Basic amount: Salary (20 000 × 12) = 240 000✓ Rental income (70 000 – 20 000)= 50 000✓ = 290 000✓			290 000
Less: RAF 5 000 Limited to the lessor: 1. 27,5% × 290 000 = 79 750✓ 2. 350 000✓			(5 000)✓
Taxable income			285 000✓
Tax per table $[285\ 000 - 189\ 880\ \times\ 26\% + 34\ 178]$			58 909✓✓
Less: Rebate Primary 13 635			(13 635)✓
Less: Medical tax credit (303 × 3)			(909)✓✓
			44 365
Divide by 2			22 183✓
Less: PAYE (4 500 × 6)			(27 000)✓✓
First provisional tax payment			R Nil✓
Second provisional payment:			
	28/02/2018✓✓	IRP6/02✓	
Basic amount/taxable income			285 000✓
Tax per table			58 909✓
Less: Rebate Primary 13 635			(13 635)✓
Less: Medical tax credit			(909)✓
Less: PAYE (4 500 × 12)			(54 000)✓
Less: First provisional tax payment			R Nil✓
Second provisional tax payment			R Nil✓

[30]

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QUESTION 3

Mr James Polo		**Rand**
Salary (R18 000 × 12)✓		216 000✓
Annuity (R4 000 × 2)✓		8 000✓
Long-service award [6 000 – 5 000]✓		1 000✓
Use of employer-owned cell phone		26 000✓
Use of holiday house: 23 days × R2 000✓		46 000✓
Rental income (200 000 – 60 000) = 140 000 ÷ 2✓		70 000✓
Farewell gift from fellow workers		R Nil✓
Subsistence allowance [10 000 – (372 × 5)]✓✓		8 140✓
Local interest (25 000 ÷ 2)✓		12 500✓
Less: Exemption		(12 500) ✓
Scholarship for grandchild (25 000 – 20 000)✓		5 000✓
Taxable income before deductions:		380 140
Less: Contributions towards retirement Pension + RAF (actual contribution) R3 500 + R8 000 = R11 500✓ Limited to the lessor of: 1. 27,5% × R380 140 = R104 539✓ OR 2. R350 000✓		(11 500)✓
Taxable income before donations		368 640
Less donation (actual contribution) R1 000 Limited to 10% × R368 640 = R36 864✓		(1 000)✓
Taxable income		367 640✓
Tax per tables (367 640 – 296 540) × 31% + 61 910		83 951✓
Less: Rebates Primary Secondary		 (13 635)✓ (7 479)✓
Less: Medical tax credits		
Medical tax credit (303 × 2)(204 × 2) × 12✓		(12 168)✓
Medical contribution Minus tax credit (12 168 × 3)✓	60 000✓ (36 504)✓ 23 496	
Plus: Qualifying medical expenses	18 000✓	
Total qualifying medical expenses	41 496	
Multiply by 33,33%	13 832✓	(13 832) ✓
Normal income tax liability		36 837✓
Plus: Tax on lump sum received		23 760✓
Accumulated leave Lump sum payout Leave gratuity	17 000✓ 600 000✓ 15 000✓ 632 000✓	
Total tax liability		59 997✓

[45]

QUESTION 4

4.1 Accommodation formula:

(A – B) x $\frac{C}{100} \times \frac{D}{12}$

Remuneration:

A = 220 000 × $\frac{100}{107,5}$ = 204 651

= (R204 651✓ – R75 750✓) × $\frac{19}{100} x \frac{12}{12}$

= R128 901 × $\frac{19}{100} \times \frac{12}{12}$

= R24 491✓ (5)

4.2 ✓ ✓ ✓

R480 000 × 3,25% × 9 = R140 400 (3)

4.3

Details	**Rand**
Salary	105 000✓
Bonus	15 000✓
Commission	5 000✓
Rental income (13 000 ÷ 2)	6 500✓
Interest received (5 000 ÷ 2)	2 500✓
Less: Exemption	(2 500)✓
Taxable income before retirement deductions	131 500
Less: Contributions towards retirement Actual: (R3 100✓+ R3 850✓ + R6 000✓) = R12 950 Limited to the lessor of: 1. Higher of 27,5% multiplied with: 1.1) Remuneration (R105 000 + R15 000 + R5 000) = R34 375✓ OR 1.2) Taxable income (excluding severance benefits and retirement fund lump sums) (R131 500) = R36 163✓ OR 2. 350 000✓	(12 950)✓
Taxable income	118 550
Tax per table (118 550 × 18%)	21 339✓
Less: Rebate Primary 13 635✓ Secondary 7 479✓	(21 114)
Tax liability	225✓

(17)
[25]

QUESTION 5

Florence Boutique Design (Pty) Ltd		**Rand**
Profit on sale		1 000 000✓
Purchase of patent (500 000 × 5%)		(25 000)✓
Purchase of non-manufacturing equipment (100 000 × 100/114) × 7/12		(51 170)✓✓✓
Wages		(90 000)✓
Wages for Florah's domestic worker		R Nil✓
Ms Florah's life insurance		R Nil✓
Import duty on materials		(3 000)
Bad debts		(1 000)✓
Collected VAT		R Nil✓
VAT paid to SARS		R Nil✓
Fuel for delivery vehicles		(6 000) ✓
Drawings		R Nil✓
Advertisement		(3 000)✓
Transfer to general reserve		R Nil✓
Improvement to the new premises		R Nil✓
Annuity to retired employees		(5 000)✓
Painting of the new building		(12 500)✓
Entertainment for prospective customers		(1 000)✓
Year-end party for staff		(1 600)✓
Contribution to pension fund (Less than the maximum of 20% of employee remuneration)		(2 500)✓
New delivery van		
Wear and tear [250 000 × 25%✓ × $\frac{6}{12}$]✓		(31 250)✓
Fuel for Ms Florah's car		R Nil✓
Insurance paid for the manufacturing machinery		R Nil✓
Wear-and-tear allowance: 2018 = 400 000 × 20%✓		(80 000)✓
Scrap allowances: 1/08/2015✓: Cost price	400 000✓	
Less: W and T: 400 000 × 40%✓ =	(160 000)✓	
ITV at 28/02/2016✓	240 000✓	
Less: W and T: 400 000 × 20%✓ =	(80 000)✓	
ITV at 28/02/2017✓	160 000✓	
Less: W and T: 400 000 × 20%✓ =	(80 000)✓	
ITV at 28/02/2018✓ Income tax value worth	80 000✓	
Less: Insurance payout	(18 500)✓	
Therefore, Section 11(o) scrapping loss (61 500)		(61 500)✓
Restraint of trade payment Limited to the lessor of: 1) R300 000 ÷ 2 years = R150 000 ✓ OR 2) R300 000 × 1/3 = R100 000 ✓		(100 000)✓
Taxable income		525 480✓

[50]

QUESTION 6

	Farming income and expenses	Capital development expenses	Farmer Precious
Sales from oranges (R1 539 000 × 100/114)	1 350 000✓✓		
Rental income			25 000✓✓
Less: Rental expenses			(5 000)✓
Development subsidy received	R Nil✓		
Fruit trees purchased		(60 000)	
Repairs to farm fence	(70 000)✓		
Workers' wages	(80 000)✓		
New truck bought (R185 000 × 25%)✓	(46 250)✓		
Electricity lines to the factory on the farm		(12 000)	
Electricity lines to workers' cottages		R Nil	
Balance of capital development brought forward		(50 000)✓	
Opening stock of oranges	(520 000)✓✓		
Closing stock of oranges	250 000✓✓		
TOTALS	883 750	(122 000)	20 000✓
Use CDE against farming income	(122 000)	122 000	
	761 750	R Nil	
Taxable farming income Farmer Precious	(761 750)		761 750✓
Taxable income	R Nil✓		781 750✓
Tax per tables [(781 750 – 708 310) × 41% + 209 032]✓			239 142✓
Less: Rebates Primary Secondary Tertiary			 (13 635)✓ (7 479)✓ (2 493)✓
Less: Medical tax credit (303 × 12)✓			(3 636)
Less provisional tax payments			(3 500)✓
Tax payable/liability			208 399 **[40]**

TOTAL SECTION B: 190
GRAND TOTAL: 200

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